

On the basis of these facts the computation of the conversion price in the early part of 1933 was as follows:

$$C' = \frac{\begin{array}{c} \text{Base figure} \qquad \text{Offer of 4 / 30 / 29} \qquad \text{Hocking Valley} \qquad \text{Offer of 6 / 12 / 30} \\ (1,190,049 \times \$220) + (296,222 \times \$100) + (46,066.5 \times 153.62) + (382,211 \times \$100) \\ 1,190,049 + 296,222 + 46,066.5 + 382,211 \end{array}}{4 \text{ (due to 4 for 1 split on 7 / 31 / 30)}} = \$43.97$$

NOTE 37

Consolidated Textile Corp. Three-year 7% Convertible Debentures, due 1923, had a conversion privilege of this type. The indenture provided that "The rate at which common stock of the company shall be delivered on any such conversion shall be upon the basis of 22 shares of such common stock for each \$1,000 Note, and eleven shares of such common stock for each \$500 Note, or, if any additional common stock of the company is at any time issued by it for less than \$46 per share, the rate of conversion shall be reduced to the price in money or in fair value of property at or for which such common stock is issued ... and if any further stock is subsequently issued at a lower price the conversion rate shall be still further reduced, and so on from time to time, with a cash adjustment of interest and dividend accrued."

These Debenture Notes were issued in April 1920. In November of that year additional stock was offered to stockholders at \$21 per share and the conversion price was accordingly reduced to \$21 per share from about \$46 per share. The privilege never attained a substantial value, the stock not having sold above 46¹/₂ prior to November 1920 and failing to exceed 21⁷/₈ subsequent to the lowering of the conversion price in November. The issue was called at 102¹/₂ in October 1921.

NOTE 38

The \$67,000,000 of American Telephone & Telegraph Co. Convertible 4¹/₂s, due 1933, which were offered to shareholders in 1913, are an example of this comparatively rare condition. The bonds were convertible into common stock at \$120 per share from Mar. 1, 1915 to Mar. 1, 1925. The indenture provided that the stock obtainable on conversion was to be "part of the authorized capital stock of the Telephone Company *as such authorized capital stock shall be constituted at the time of such conversion*" and did not contain the usual antidilution clauses. It is interesting to note that both the preceding and subsequent convertible issues of American Telephone & Telegraph Co. did contain an antidilution clause. See, for example, the indentures securing the convertible 4s issued in 1906 and the convertible 4¹/₂s issued in 1929.